

Ticker: SKE CN	Pro forma cash: C\$38m	Project: Eskay Creek
Market cap: C\$535m	Price: C\$6.01/sh	Country: Canada, BC
<i>REC. (unc): BUY</i>	<i>TARGET (-30c): C\$10.70/sh</i>	<i>RISK RATING (unc): HIGH</i>

We estimate a 16% cost of equity and 7% cost of debt for 9% overall cost of capital on today's funding. The 0.25xNAV the stock trades at equates to a ~30% cost of equity, making today's deal very accretive compared to dilutive equity. With the raise to ostensibly fund up to \$500m of pre-permit spend planned, this allows Skeena to continue operational momentum through permitting, with the CY28 long-stop date of a convertible talking to a useful buffer against the CY26 target production date. In real-world terms, the DFS 4.1g/t AuEq reserve grade effectively drops 0.04g/t (1% royalty) in exchange for not 'giving away' ~10% of the company in equity dilution, a no-brainer from our point of view. A nice precent transaction comes from Osino today, who achieved a 37% premium on their SCPe ~0.4xNAV bid price; for Skeena 0.4xNAV would be a ~60% premium to today's price. For now, we **maintain our BUY rating, lower our C\$11.00/sh PT to C\$10.70/sh based on dilution.**

Franco 9% cost-of-capital C\$81m financing accretive compared to 30% equity cost; permitting continues
Skeena has announced a C\$56m 1% NSR royalty sale to Franco-Nevada, and concurrent C\$25m 7% unsecured convertible with 35% / C\$7.70/sh conversion premium, maturing in 4Q28, or on board-approved project financing for Eskay Creek.

Why we like Skeena

1. Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
2. Shift in market dynamics allows concentrate sales for lower capex
3. Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
4. Catalyst heavy with drilling, metallurgy, and DFS optimizations in coming 12M

Catalysts

1. CY24: Potential streaming package
2. CY24: Long lead orders and civil (pre-permitting) construction start
3. 2Q24: PFS-level study on Snip based on M&I
4. Mid 2025: permits complete
5. Mid 2026: production start up

Research

Brock Salier (London) m +44 7400 666 913 bsalier@scp-rf.com

Eleanor Magdzinski (Toronto) m +1 705 669 7456 emagdzinski@scp-rf.com

Konstantinos Kormpis (Toronto) m +1 778 957 3623 kkormpis@scp-rf.com

Ticker: SKE CN	Price / mkt cap: C\$6.01/sh, C\$535m	Project PNAV today: 0.26x	Asset: Eskay Creek / Snip
Author: B Salier	Rec / 0.5xNAV PT: BUY, C\$10.7/sh	1xNAV _{4Q22} FF FD: C\$23.52/sh	Country: Canada: BC

Commodity price	CY18A	CY19A	CY20A	CY21A	CY22E	Resources	AuEq (koz)	AuEq (g/t)
Gold price	1,850	1,850	1,850	1,850	1,850	Pittable resource	5631koz	3.46g/t
SOTP project valuation*						Underground resource	393koz	5.86g/t
		C\$m	O/ship	NAVx	C\$/sh	Snip	937koz	9.00g/t

Ungeared proj. @ build start	2,074	100%	1.00x	22.20
Pro forma cash	94	100%	1.00x	1.01
Cash from options	18	100%	1.00x	0.19
Snip (US\$75/oz)	95	100%	1.00x	1.02
Asset NAV5% C\$1850/oz	2,280			24.4

*Shares diluted for options but not mine build Market P/NAV 0.25x

Share data

Basic shares (m)	89.0	FD with build equity raise	122.6
FD with options (m)	93.4		

Asset value: 1xNPV project @ build start (C\$m, ungeared)*

Project NPV (C\$m)*	\$1650oz	\$1750oz	\$1850oz	\$1950oz	\$2050oz
10.0% discount	1,301	1,489	1,676	1,863	2,051
7.5% discount	1,516	1,733	1,951	2,170	2,388
5.0% discount	1,769	2,025	2,280	2,536	2,792
Ungeared project IRR:	0%	0%	0%	0%	0%

Project NPV (C\$/sh)*	\$1650oz	\$1750oz	\$1850oz	\$1950oz	\$2050oz
10.0% discount	13.94	15.94	17.95	19.95	21.96
7.5% discount	16.23	18.56	20.89	23.23	25.57
5.0% discount	18.94	21.68	24.4	27.16	29.90

*Project level NPV, excl finance costs and central SG&A, discounted to build start

Group valuation over time^

	Dec-23	Dec-24	Dec-25	Dec-26	Dec-27
Eskay Creek (C\$m)	2,174	2,519	2,939	2,980	2,538
Net cash prior qtr (C\$m)	1	(35)	(339)	(256)	313
G&A and finance costs (C\$m)	(92)	(107)	(93)	(47)	(4)
Cash from options (C\$m)	18	18	18	18	18
Snip	95	95	95	95	95
NAV FF FD (C\$m)	2,196	2,490	2,620	2,789	2,960

1xNAV_{5%}/sh FF FD (C\$/sh) 23.52^ 20.31* 21.37* 22.75* 24.14*

Geared company NAV diluted for mine build, net G&A and finance costs

1xNAV FF FD (C\$/sh)^	\$1650oz	\$1750oz	\$1850oz	\$1950oz	\$2050oz
10.0% discount	2,138	2,416	2,695	2,974	3,253
7.5% discount	2,230	2,525	2,821	3,117	3,413
5.0% discount	2,329	2,644	2,960	3,275	3,591
Geared project IRR:	45%	49%	53%	57%	60%

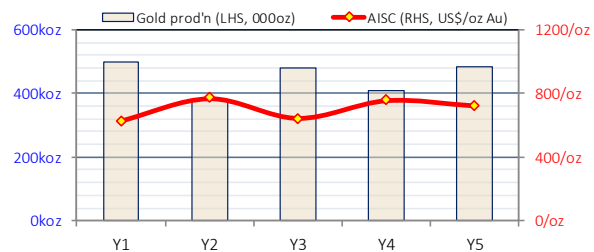
1xNAV FF FD (C\$/sh)^ \$1650oz \$1750oz \$1850oz \$1950oz \$2050oz

10.0% discount	14.79	17.49	20.24	23.03	25.85
7.5% discount	16.24	19.16	22.12	25.12	28.14
5.0% discount	17.77	20.94	24.1	27.37	30.63

^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity

Production	Y1	Y2	Y3	Y4	Y5
Gold production (000oz)	500	380	480	410	485
C1 cost (US\$/oz)	538	658	552	631	620
AISC cost (US\$/oz)	623	769	640	756	722

AISC = C1 + ug sustaining capex, Y1 = 12M to Mar 2027



Source: SCP estimates

Resources	AuEq (koz)	AuEq (g/t)
Pittable resource	5631koz	3.46g/t
Underground resource	393koz	5.86g/t
Snip	937koz	9.00a/t

*Cash from options expiring pre first pour Buffer C\$100m

Ratio analysis	CY21A	CY22E	CY23E	CY24E	CY25E
Average shares out (m)	92.5	71.5	84.5	110.4	113.4
EPS (C\$/sh)	-	-	-	-	-
CFPS (C\$/sh)	-	-	-	-	-
EV (C\$m)	517.0	395.1	469.1	772.5	1,106.2
FCF yield (%)	-	-	-	-	-
PER (x)	-	-	-	-	-
P/CF (x)	-	-	-	-	-
EV/EBITDA (x)	-	-	-	-	-

Income statement

Net revenue (C\$m) - - - - -

Gross profit (C\$m) - - - - -

D&A, attrib (C\$m) 0.3 0.3 0.2 - -

Admin (C\$m) 22.9 21.2 20.2 9.8 -

Expensed exploration (C\$m) 107.5 91.6 63.9 - -

Finance cost (C\$m) (0.2) (0.4) (1.5) - 30.1

Royalty (C\$m) - (9.5) (56.0) - -

Forex, other (C\$m) (12.8) (14.3) (3.5) - -

Taxes (C\$m) - - - - -

Net income (C\$m) (117.6) (88.9) (23.3) (9.8) (30.1)

Cash flow, attrib. CY21A CY22E CY23E CY24E CY25E

EBIT (C\$m) (117.8) (89.3) (24.8) (9.8) -

Add back D&A (C\$m) 0.3 0.3 0.2 - -

Less tax + net interest (C\$m) (0.2) (0.4) (1.5) - 30.1

Net change in wkg cap (C\$m) (10.3) 6.2 15.6 - -

Add back other non-cash (C\$m) 1.4 (3.1) 5.5 - -

Cash flow ops (C\$m) (126.1) (85.5) (2.0) (9.8) (30.1)

PP&E - build + sust. (C\$m) (13.1) 11.8 (90.4) (285.2) (285.2)

PP&E - expl'n (C\$m) (0.5) (0.4) 22.5 - -

Cash flow inv. (C\$m) (13.5) 11.4 (67.9) (285.2) (285.2)

Share issue (C\$m) 137.0 82.7 69.9 147.0 -

Proceeds from sale (C\$m) 5.0 - - - -

Debt draw (repay) (C\$m) (1.6) (0.5) 25.0 - 476.0

Cash flow fin. (C\$m) 140.5 82.3 94.9 147.0 476.0

Net change in cash (C\$m) 0.8 8.1 25.0 (148.1) 160.8

EBITDA (C\$m) (117.5) (89.0) (24.6) (9.8) -

Balance sheet CY21A CY22E CY23E CY24E CY25E

Cash (C\$m) 40.3 40.6 66.9 (81.1) 79.6

Acc rec., inv, prepaid (C\$m) 13.9 9.5 9.5 9.5 9.5

PP&E + other (C\$m) 100.8 117.9 182.5 467.7 752.9

Total assets (C\$m) 155.0 168.0 258.9 396.1 842.0

Debt (C\$m) 1.3 6.1 28.2 28.2 504.2

Accounts payable (C\$m) 12.5 14.0 31.4 31.4 31.4

Others (C\$m) 17.6 10.7 7.2 7.2 7.2

Total liabilities (C\$m) 31.4 30.8 66.8 66.8 542.8

Sh'hlds equity + wrnts (C\$m) 362.0 465.3 539.5 686.4 686.4

Retained earn'gs + rsvs (C\$m) (238.4) (328.1) (347.4) (357.2) (387.2)

Liabilities + equity (C\$m) 155.0 168.0 258.9 396.1 842.0

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Summary of Recommendations as of December 2023	
BUY:	54
HOLD:	0
SELL:	0
UNDER REVIEW:	0
TENDER:	1
NOT RATED:	0
TOTAL	55

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